



EURONEXT SECURITIES

Participants default procedure

Activation and testing

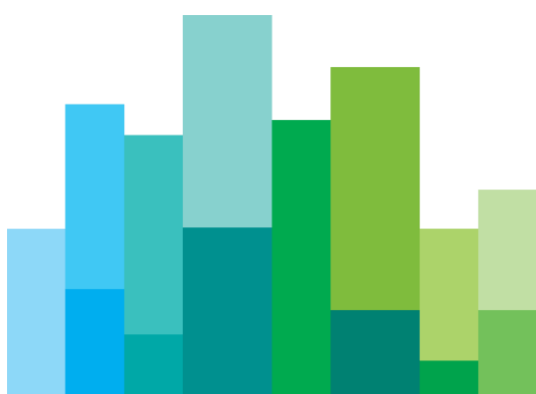
MARCH 2025

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BACKGROUND AND OBJECTIVES



PUBLIC

1.1 Background and objectives

The purpose of the procedure is to ensure that Euronext Securities Oslo (or "ES-OSL") takes the appropriate measures in a default situation of a participant. The procedure covers the types of actions ES-OSL may take in case of insolvency of a participant and how ES-OSL shall test and periodically review the procedure.

According to CSDR (Central Securities Depository Regulation) art. 41.2 and the ESMA (European Securities and Markets Authority) Guidelines on Participant Default Rules and Procedures under CSDR, the procedure regarding a situation where insolvency proceedings are opened against a participant shall be (I) approved by the CSD's management body and (II) made available to the public. Thus, this insolvency procedure (the "Procedure") was formally approved by the Euronext Securities (ES-OSL) Board of Directors on 22 June 2020 and subsequently in 2025.

Rules on participants default are included in the VPO NOK rules. This procedure describes in further detail the actions required if a participant of VPO NOK becomes subject to insolvency proceedings as defined in Section 23 of the VPO NOK rules. A participant is a party approved by ES-OSL as a participant in VPO NOK, including CCPs and other CSDs. The procedure also describes the actions related to the same party's activity as a settlement bank and a liquidity bank, as defined in section 4 of the VPO NOK Rules.

In order to be registered as a participant in VPO NOK, it is a prerequisite to also be an account operator. This authorisation may be limited to their own accounts only; however, most settlement participants also act as account operators for their clients' accounts. In the event of insolvency, the authorisation as an account operator will be revoked. However, the revocation of discontinuation of account operator authorisation is not addressed by this procedure but is outlined in the "Euronext Securities Oslo Rules for Registration Activity and Related Ancillary Services".

1.2 About this procedure

This procedure describes the following steps:

1. Notification and verification of the default of a participant.
 - a) SIP and internal escalation.
 - b) Notification and verification.
 - c) Confirmation and documentation.
2. Communication and notification following the default of a participant.
3. Actions to be taken in case of a default of a participant.
4. Testing of the procedure.
5. Training of personnel.

1.3 Timing

1. Execution of the procedure.

The procedure is to be executed ad-hoc when insolvency proceedings are opened against a settlement participant.

2. Testing of the procedure.

This procedure is to be tested on an annual basis. The results of the test must be sent to the authorities and other relevant parties described in this procedure.

NOTIFICATION & VERIFICATION OF A DEFAULT PARTICIPANT

ES-OSL should activate its participants default rules and procedures once ES-OSL, after having taken all reasonable steps to verify its occurrence, has identified (or confirmed) a participant as default.

1.1 SIP (Serious Incident process) and internal escalation

1. Serious Incident Process.

- After ES-OSL (and anyone within the company) receives information that a participant has been placed under insolvency proceedings or that this is imminent, ES-OSL should immediately summon a Serious Incident Procedure (SIP).
- The notification and verification steps (next section of this document) of a participant's default should not be postponed pending the establishment of the SIP.
- The SIP is responsible for the activities described in the sections below and to coordinate the activities with other entities or persons mentioned in the procedure.

2. Escalation to internal stakeholders.

- If anyone in ES-OSL receives information that a participant has been placed under insolvency proceedings or that this is imminent, this should immediately be escalated to the Head of Product and Head of Legal.
- If the Head of Product and Head of Legal are not available, the CEO or others in Management must be informed, and immediate action must be taken to clarify the situation to determine whether an insolvency situation exists.

1.2 Notification and verification of a default

Notification of a participant's default can only be accepted as legitimate from the below sources. For each notification source, ES-OSL must verify the information by following the verification steps.

Table of notification sources, notification and verification steps.

Notification sources	Notification steps	Verification steps
The participant itself and liquidity banks	Participants and liquidity banks are obliged to immediately notify ES-OSL if the participant /liquidity bank no longer fulfils the conditions set out in the VPO NOK Regulations to be participant/liquidity bank, cf.	If ES-OSL receives the information from the participants or other parties, ES-OSL must contact the Finanstilsynet (or "NFSA"), for verification.

Notification sources	Notification steps	Verification steps
	VPO NOK Regulations section 13.1. This includes if the participant is placed under insolvency proceedings. The participant must have specified in advance through which channels such notification would be made.	If the participant itself notifies ES-OSL via a channel other than the pre-determined one, ES-OSL must request the participant to send the notification via the pre-determined notification channel. <u>Back-up solution</u> Back-up solution, in order to verify whether insolvency proceedings are opened against a Participant: ES-OSL may send a letter to the participant and ask for immediate confirmation or denial of the insolvency proceedings.
Authorities	ES-OSL may also be notified of the insolvency by NFSA, which would normally have information on the insolvency of Norwegian settlement participants subject to their supervision and who, according to the Settlement Finality Directive, will receive such information from European Supervisory Authorities on insolvency of participants reported by the Financial Supervisory Authority to EFTA's monitoring body that are participants in VPO NOK¹.	If the NFSA notifies ES-OSL via a phone call, ES-OSL requests the NFSA to confirm this in writing. ES-OSL verifies the default.
Any other person with knowledge of the existence	If anyone in ES-OSL receives information that a participant has been placed under insolvency proceedings or that this is imminent, this should immediately be escalated to the	<u>Back-up solution</u> Back-up solution, in order to verify whether insolvency proceedings are opened against a Participant:

¹ Ref betalingssystemloven § 4-5.

Notification sources	Notification steps	Verification steps
	Head of Product and Head of Legal. If the Head of Product and Head of Legal are not available, the CEO or others in Management must be informed, and immediate action must be taken to clarify the situation to determine whether an insolvency situation exists.	ES-OSL may send a letter to the participant and ask for immediate confirmation or denial of the insolvency proceedings.

Table 1. Notification sources, steps and verification steps.

1.3 Confirmation and documentation of the default

1. Final confirmation.

ES-OSL must not declare a participant as default before this is confirmed by the NFSA or another public authority.

2. Document the default.

ES-OSL must document the below:

- The time and date when ES-OSL received information that a participant has been placed under insolvency proceedings and
- The time and date when the insolvency proceedings or the default was finally determined.

COMMUNICAT ION TO AUTHORITIES & OTHERS

Once ES-OSL has verified the default of a participant, ES-OSL must send specific information to the NFSA, to other entities, and to the participant itself.

2.1 Communicate to the NFSA

Immediately available information

After the confirmation of the participant's default, ES-OSL must send the below information to the NFSA: confirmation of the participant's default including details available at that moment in time and the source of information.

Minimum additional information

Following this, ES-OSL must as soon as possible identify and transmit the minimum additional information to the NFSA. Both are outlined in the table below:

Table about Information to be sent to the authorities.

Information type		Details
Immediately available information		
After the confirmation of the participant's default, ES-OSL must send the below information to the NFSA:		
1	- Confirmation of the participant's default - Details available at that moment in time - The source of information.	
Minimum available information		
2	The type of participant in respect of which the default has occurred. Information such as its: - Legal status - License - Activity - Confirmation whether it is a key participant under Article 67 of the Commission Delegated Regulation (EU) 2017/392.	Ref. to definition of a key participant in Appendix 1.1.
3	The total volume and value of the defaulting participant's settlement instructions and If possible, the total volume and value of those instructions that may fail to settle, with "value" being calculated as specified in Article 42(2)².	Ref. to value calculation is specified in Appendix 1.2.

² Article 42(2) of the Commission Delegated Regulation (EU) 2017/392 on the day of the default.

Information type	Details
4 The type of transactions and financial instruments those instructions relate to.	Ref. to transactions and financial instruments described in Art.54(2)(b) and 42(1)(d)(i) of 2017/392, Appendix 1.3.
5 1. If ES-OSL uses a common settlement infrastructure, ES-OSL must send: ▪ Information about which common settlement infrastructure the defaulting participant's settlement instructions are processed 2. When available, ES-OSL must send: ▪ Any other indicators of cross border activities of the participant in default.	
6 The number of clients the defaulting participant has.	Where known to ES-OSL.
7 Information on any material risks that such default might entail.	

Table 2. Information requirements to be sent to the authorities.

2.2 Communicate to internal and external entities

1. The SIP shall prepare and inform the following entities of the insolvency event of a Participant:
 - Non-defaulting participants of VPO NOK
 - Liquidity Banks
 - Linked CSDs (i.e., CSDs having one or more securities accounts with ES-OSL)
 - Norges Bank (the Norwegian Central Bank)
 - ES-OSL's Board of Directors
 - Other Euronext group entities to inform of the situation and ascertain whether the Participant is active within other parts of the group.

According to section 4-5 second paragraph of the "Payment System Act", Norges Bank will inform the EFTA Surveillance Authority of the opening of insolvency proceedings against the participant in VPO NOK.

2. Personal data restrictions.

- ES-OSL must not send personal data related to the default participant to the below entities:
- Non-defaulting participants of VPO NOK
- The CCPs served by the ES-OSL and its VPO NOK
- The linked CSDs

2.3 Contact the Participant

If contact is not already established with the participant's contact-person as regulated in Section 15 of the VPO NOK, the SIP shall establish contact with this person or if that is not possible another senior personnel of the Participant.

If the Participant has been declared bankrupt or in liquidation, the receiver in bankruptcy or liquidator should be contacted.

ACTIONS TO BE TAKEN IN CASE OF A DEFAULT PARTICIPANT

ES-OSL must take the below actions in case of a default participants. These actions are measures ES-OSL takes to contain losses and liquidity pressures, at and after the point of participant default.

ES-OSL should specify whether those actions are automatic or decided on a case-by-case basis.

In short, ES-OSL must change the normal settlement practice, blocking the entry of additional settlement instructions in the VPO NOK by the defaulting participant, suspending its non-final settlement instructions from settlement and/or restricting certain functionalities that can be applied to the settlement instructions of that participant.

Before those actions are taken, ES-OSL must perform the below:

3.1 Identification of roles, description of selection criteria

1. Identify roles the default participant has towards ES-OSL.

- Type(s) of authorisations the default participant has from ES-OSL.
- And other agreements between the default participant and ES-OSL

2. Describe selection criteria and consequences of actions

ES-OSL must specify the consequences of the actions ES-OSL may take in respect of defaulting and non-defaulting participants' settlement instructions and accounts.

ES-OSL must specify the criteria for selection of actions listed in the procedure: ES-OSL must specify the criteria to be taken into account for the choice of each of the actions listed in its default rules and procedures.

3.2 Exclude the default participant from VPO NOK

ES-OSL has the right to withdraw the approval as a participant and the approval as a liquidity bank, including setting conditions for continued authorisation if the participant is placed under insolvency proceedings.

1. Decision to exclude the default participant.

After verifying a default, the CEO should decide whether to exclude the participant from further participation in VPO NOK—either fully or partially, temporarily or permanently. If the CEO is unavailable, this decision should be made jointly by the Head of Product and the Head of Legal.

- Decision-making mandate to exclude the participant:

- The CEO or
- Jointly by Head of Product and Head of Legal (if the CEO is not available).
- What should the decision include:
 - The extent to which operations in the VPO NOK system should be terminated.
 - Whether the decision can come into force with immediate effect and whether it should remain temporary.

2. Information about the exclusion to the participant

ES-OSL must inform the participant of the decision as soon as possible by sending a written notice of the decision.

The participant should be given an opportunity to submit an explanation or take corrective measures.

Thereafter, a final decision regarding exclusion can be taken by the CEO.

3.3 Settle, block, defer, and remove instructions

1. Block additional settlement instructions

Block the entry of additional settlement instructions in the VPO NOK by the defaulting participant.

2. Settlement of settlement instructions

Settlement instructions that have already been entered into the VPO NOK at the time that the participant enters insolvency proceedings, will still be processed in the settlement cycle. This applies to settlement instructions submitted to VPO NOK until the point in time at which ES-OSL is officially notified about the insolvency by the NFSA or another public authority.

Settlement of same settlement day instructions

More specifically, settlement instructions that are scheduled for the same settlement day the participant enters insolvency proceedings will be included in settlement for same settlement day. Any other settlement instructions scheduled for future dates (not the same settlement day) will be deferred.

3. Sufficient financial instruments and cash (liquidity) available to cover the instructions

- Settlement instructions will be settled provided there are sufficient financial instruments and cash (liquidity) available to cover the instructions.
- Settlement instructions for which there is insufficient financial instruments and/or liquidity will be deferred.

- Financial instruments that are available on a settlement account in a securities register and deposits on a securities settlement account at Norges Bank or a private settlement bank can be used to settle securities transactions on the same settlement day (business day) that the insolvency proceedings are entered into.
 - This applies to financial instruments and deposits that are available on such accounts at the time the participant enters into insolvency proceedings, and to instruments and deposits that are credited to the accounts after this point.
 - For an insolvent participant that is a liquidity bank for other participants in addition to acting as a settlement bank for itself, the previous sentence does not apply to deposits credited to its account that relate to settlement instructions entered by participants for which it is the liquidity Bank.
 - Settlement instructions for which there is no cover available will be deferred pursuant to the provision in The VPO NOK Rules Section 23.10.
4. Restrict certain functionalities that can be applied to the settlement instructions of that participant.
 5. Remove instructions from VPO NOK.

Settlement instructions that are not settled on the settlement day on which the insolvency proceedings are entered into are removed from VPO NOK by ES-OSL. ES-OSL will notify the involved participants.

3.4 Transfer of Settlement Instructions to a Participant's Substitute Liquidity Bank

1. When to transfer the settlement instruments to its substitute liquidity bank:

If the defaulting party is a liquidity bank for other participants, these participant's settlement instructions will be transferred to its substitute liquidity bank. This applies from the first settlement cycle that starts after ES-OSL becomes aware of the default of the liquidity bank.

2. When to transfer the settlement instruments to its substitute liquidity bank:

If the default is confirmed after a settlement cycle has started, the settlement instructions that have been entered for that cycle will not be transferred to the substitute liquidity bank.

3. Notification of transferred settlement instructions

ES-OSL shall notify settlement participants and liquidity banks in VPO NOK that it has transferred settlement instructions to a substitute liquidity bank as soon as possible.

3.5 Notify stakeholders of the actions taken

1. Notify authorities and third parties

- Specify notification of the authorities and the participant of the actions taken or to be taken following the default.
- Specify informing the following persons as soon as possible regarding the actions taken:
 - Authorities
 - ESMA
 - ES-OSL's non-defaulting participants
 - CCPs served by ES-OSL
 - The linked CSDs.

2. Personal data restriction

Personal data in relation to the default participant should not be sent to the below stakeholders:

- ES-OSL's non-defaulting participants
- CCPs served by ES-OSL
- The linked CSDs.

TESTING THIS PROCEDURE

ES-OSL must test the effectiveness and practicality of this procedure.

1. Scope of the test.

The test is performed namely on sections 1, 2, and 3, i.e. the notification and verification of a default participant, the communication to NFSA and relevant parties, and the actions to be taken in case of a default participant. The competent authority may request to participate in these tests.

2. Responsibilities in conducting the test.

ES-OSL is responsible to ensure this test is conducted in compliance with the requirements.

3. Content of the test.

The test of the participant default procedure should include:

- a simulation exercise
- and a test of the communication procedures.

4. Timing of the test

- Annually (minimum)
- ad-hoc after substantive change to the default rules, or
- upon request from the authorities.

4.1 Participants involved in the test

When conducting this test, ES-OSL must involve a relevant sample of its participants. Hence, ES-OSL must engage with the below:

1. Relevant market infrastructures, such as:

- Other CSDs.
- Entities settling the cash leg of securities transactions settled through ES-OSL
- Central Counterparties (CCPs).

2. Any other key entities, such as:

- Third-party service providers to which the provision of services has been outsourced
- Operators of common settlement infrastructure, if any.

4.2 Preparatory work for the test

Prior to each test, ES-OSL should prepare in advance with the below steps:

1. Define the parameters according to which such test should be run, taking into account the below:
 - different types of participants: in terms of volume, activity, etc.
 - different types of accounts held by the participants: omnibus and segregated.
 - relevant market infrastructures: refer to 2.5.2 CSDs.

If requested by the competent authority, ES-OSL may submit the parameters it intends to use to its competent authority prior to each test.

2. Specify the below aspects:
 - mechanism, timing, parameters, scope of the testing, purpose of the test (i.e. test the effectiveness and practicality of the procedure).

4.3 Perform the test

ES-OSL must perform a test of this procedure (sections 1,2 and 3) which involves the below:

1. A simulation exercise and
2. A test of the communication procedures.

The simulation test involves using the DEMO system, where the "Procedure for SQL step-by-step to remove the participant" is used. This test puts weight on having valuable discussions that could benefit in clearing up topics that is unclear. ES-OSL must involve the relevant employees and departments to conduct this test.

The test of the communication procedures is scheduled between the different stakeholders and is rescheduled within the calendar year in the case where if any are prevented to participate. Inform the selected participants in due time with the relevant information necessary for them to participate in this test.

4.4 Results of the test - Report

The outcomes of the test are written down in a report.

This report must include results from the simulation test and the test of communication procedures, as specified below:

1. From the simulation exercise: challenges faced and potential improvements.

2. From the test of communication procedures: the discussed topics and potential improvements to the collaboration between stakeholders.

ES-OSL must share the report and contemplated changes to the procedure (if any) to the relevant recipients, as specified below:

Table with report recipients and documents

#	Recipients	Documents
1	Risk committee	1. Report of the test and 2. The contemplated changes to the procedure (if any).
2	Board of Directors	
3	Authorities: competent authority and relevant authorities	
4	ES-OSL Participants	1. At least a summary of the report and 2. The contemplated changes to the procedure (if any)
5	User Committee	

Table 3. Recipients and documents.

4.5 Weaknesses and/or lack of knowledge

1. Modify weaknesses in the procedure

After conducting the test, if ES-OSL discovers any weaknesses in this procedure, ES-OSL must modify them accordingly by reviewing this procedure. This procedure must remain both effective and practical.

2. Remove weaknesses in participants and/or market infrastructures.

After the simulation exercise, if ES-OSL discovers lack of knowledge or readiness among participants or market infrastructures, ES-OSL must duly inform them and take action to remove these weaknesses.

TRAINING OF PERSONNEL

ES-OSL must define clear responsibilities and roles in ES-OSL and with external counterparties. ES-OSL must provide training and guidance to the personnel on how the procedure should be implemented, key internal roles, external counterparties, communication channels and other information.

Table with key items relevant to internal personnel.

Key items	Details
Key personnel	■ Resources from IT Operations Support - IT Governance ■ Nordic Settlement team ■ Settlement developers (IT)
External counterparties	Norwegian Central Bank Settlement system (Norges Banks oppgjørssystem): ■ Unit for Interbank Settlement ■ Tel: +47 22 31 60 78 ■ Email: nbo@norges-bank.no
Communication channels	SIP (Serious incident process)
Documentation	Procedure for SQL step-by-step to remove the participant
Information needs and data access issues	Production and Settlement developers
Coordination with other entities	Via phone, Outlook, Settlement GUI

Table 4. Key items for training and guidance to personnel.

PUBLISHING OF PROCEDURE

This procedure is published on the official website of ES-OSL.

APPENDIX: DEFINITIONS

1.1 Key participants

Key participants as defined by RTS 2017/392, Article 67.

1. A CSD shall, on an ongoing basis, identify the key participants in the securities settlement system that it operates based on the following factors:

(a) their transaction volumes and values;

(b) material dependencies between its participants and its participants' clients, where the clients are known to the CSD, that might affect the CSD;

(c) their potential impact on other participants and the securities settlement system of the CSD as a whole in the event of an operational problem affecting the smooth provision of services by the CSD.

For the purposes of point (b) in the first subparagraph, the CSD shall also identify the following:

- (i) the participants' clients responsible for a significant proportion of transactions processed by the CSD;
- (ii) the participants' clients whose transactions, based on their volumes and values, are significant relative to the respective participants' risk-management capacity.

1.2 Value calculation of instructions

RTS 2017/392, Article 42(2).

2. The market value referred to in paragraph 1 shall be calculated on the last day of the review period as follows:

(a) for financial instruments referred to in Article 3(1) of Regulation (EU) No 600/2014 of the European Parliament and of the Council (7) admitted to trading on a trading venue within the Union, the market value shall be the closing price of the most relevant market in terms of liquidity referred to in Article 4(6)(b) of that Regulation;

(b) for financial instruments admitted to trading on a trading venue within the Union other than those referred to in point (a), the market value shall be the closing price derived from the trading venue within the Union with the highest turnover;

(c) for financial instruments other than those referred to in points (a) and (b) the market value shall be determined on the basis of a price calculated using a pre-determined methodology that refers to criteria related to market data, such as market prices available across trading venues or investment firms.

1.3 Transactions and financial instruments

The type of transactions and financial instruments those instructions relate to are described in categories in Articles 54(2)(b) and 42(1)(d)(i) of RTS 2017/392.

Transactions defined in RTS 2017/392, Article 54(2)(b).

(b) type of transaction, as follows:

- (i) purchase or sale of securities;
- (ii) collateral management operations;
- (iii) securities lending/borrowing operations;
- (iv) repurchase transactions;
- (v) others;

Financial instruments defined in RTS 2017/392, Article 42(1)(d)(i).

- (i) by each of the following types of financial instruments:
 - transferable securities referred to in point (a) of Article 4(1)(44) of Directive 2014/65/EU,
 - sovereign debt referred to in Article 4(1)(61) of Directive 2014/65/EU,
 - transferable securities referred to in point (b) of Article 4(1)(44) of Directive 2014/65/EU, other than sovereign debt referred to in Article 4(1)(61) of Directive 2014/65/EU,
 - transferable securities referred to in point (c) of Article 4(1)(44) of Directive 2014/65/EU,
 - exchange-traded funds as defined in point (46) of Article 4(1) of Directive 2014/65/UE (ETF),
 - units in collective investment undertakings, other than ETFs,
 - money-market instruments, other than sovereign debt referred to in Article 4(1)(61) of Directive 2014/65/EU,
 - emission allowances
 - other financial instruments

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